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Digital channels reshape banking workloads as customer growth continues

By Ed Stoddard | 17 January 2024

Customer using mobile banking on a phone

South African banks are seeing a steady increase in customers using digital channels, but the shift is also exposing weaknesses in operational reporting.

Industry data reviewed by analysts suggests active digital customers rose by about 17.9% year on year across mid-tier retail banks, while e-wallet and app-led transactions grew by an estimated 16.4%. The gains were strongest in urban provinces, but USSD remained important for lower-income and intermittent-data customers.

The operational effect is more complex than the growth headline suggests. A customer who moves from branch to app may still use ATM cash withdrawals, card payments and debit orders in the same month. Product teams therefore need a joined-up view of channel behaviour rather than isolated product reports.

Loan-payment data adds another layer. In January 2024, comparable files showed a 6.5% failed-payment rate, suggesting that some customers targeted for digital offers may also be experiencing cash-flow stress.

Consultants say banks should combine product adoption, transaction categories, failed journeys and fee pressure before launching cross-sell campaigns. "Growth is useful only if the bank understands which customers are ready for more digital engagement," said a Cape Town-based fintech analyst.

The same data can support remittance targeting, dormant-account reactivation and customer-experience monitoring, provided teams agree on common definitions for active customer, failed journey and channel migration.